

Your story matters



Absa Bank Kenya PLC

H1 2025 Results Announcement

Tuesday 12th August, 2025

Agenda

1

Business Overview

2

Financial
Performance

3

Guidance

4

Strategic Outlook

Business Overview

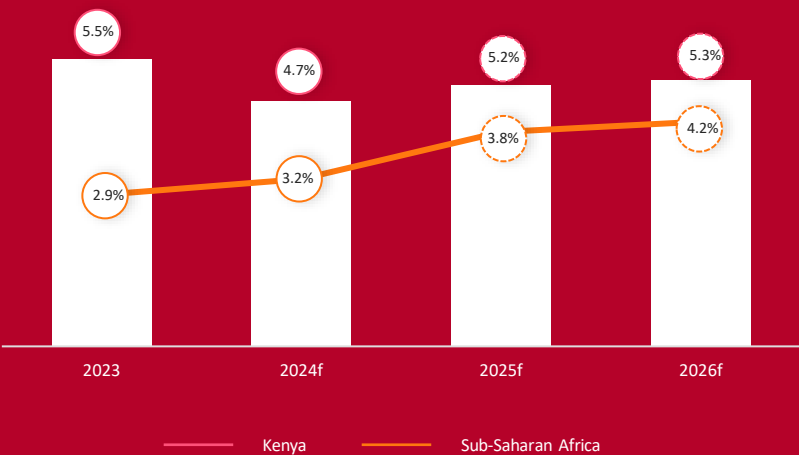


Abdi Mohamed
Chief Executive Officer

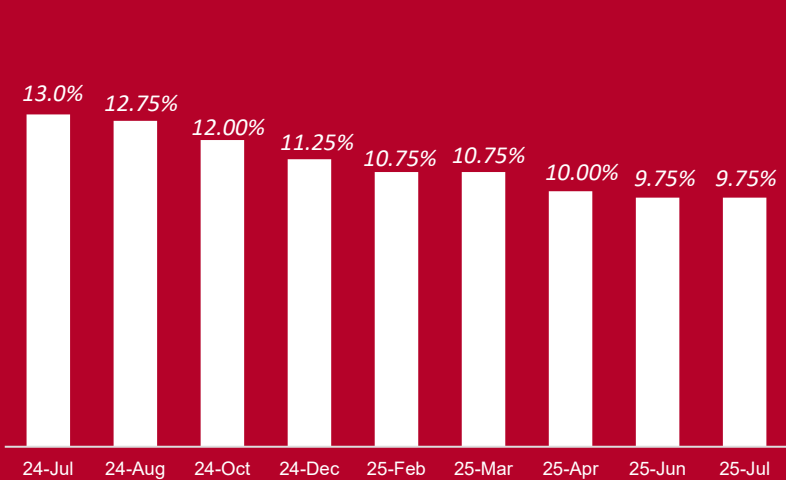


Operating environment: Complex operating environment with addressable risks and opportunities

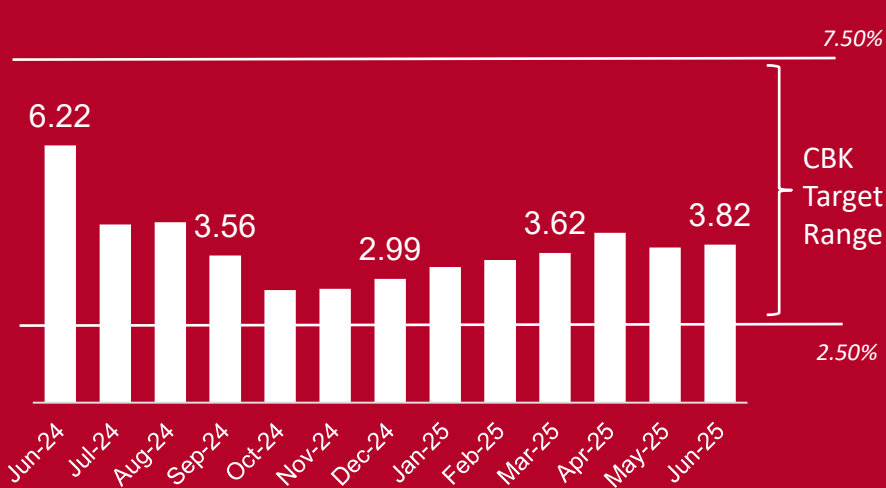
GDP Growth remains resilient



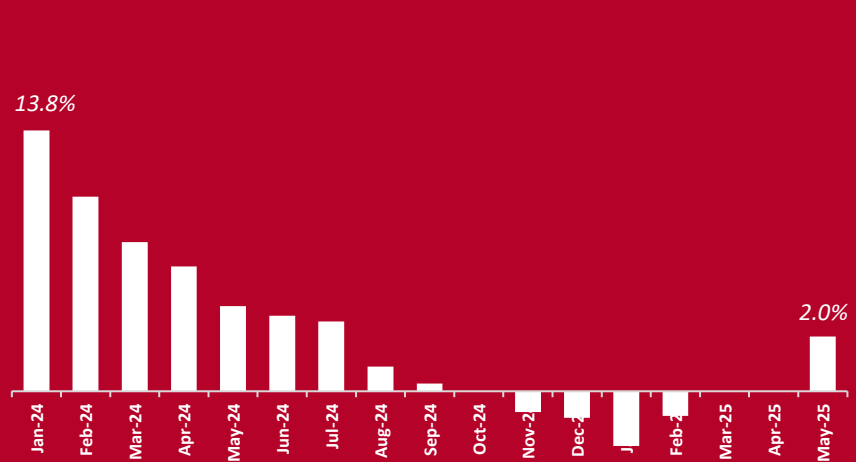
Easing of Monetary Policy (CBR Rate)



Average Inflation within CBK target range



Private sector credit showing recovery



In Summary

Tailwinds

- Resilient GDP growth
- Anchored inflation
- Stable currency with sufficient FX reserves
- Easing monetary policy to spur private sector credit growth
- Revised positive outlook by international rating agencies driven by fiscal consolidation efforts by the government to address the debt unsustainability concerns
- Resurgence of the equities markets with ETFs listing and expected IPOs

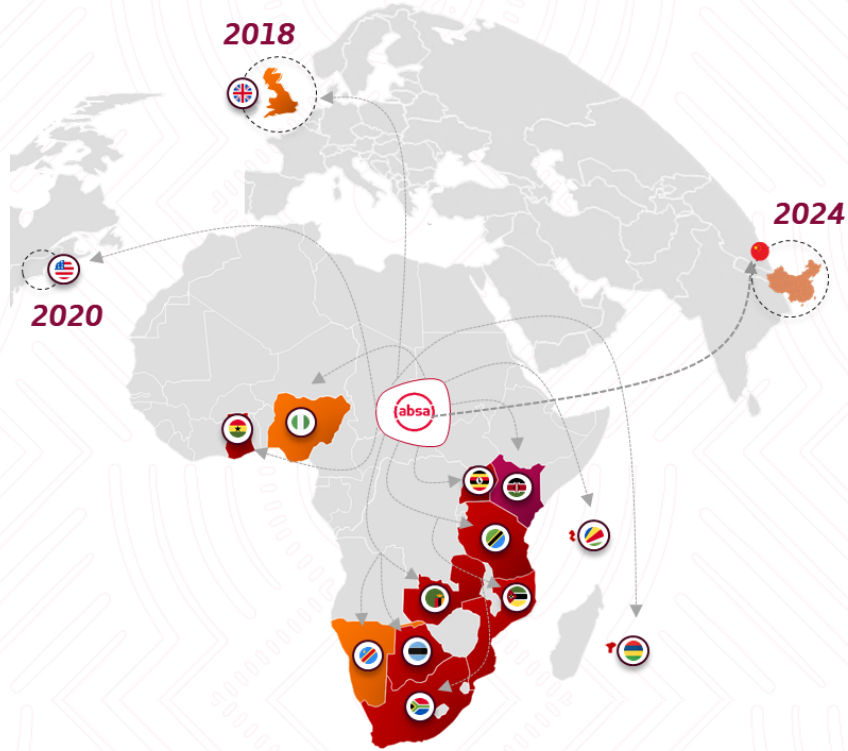
Headwinds

- Decline in disposable incomes and constrained consumer purchasing power
- Uncertainty arising from geopolitical conflicts



Our Footprint: We are part of a leading Pan African financial institution with global reach

Absa Group



1,016
Branches



139,436
POS



36,779
Workforce



6,347
ATMs

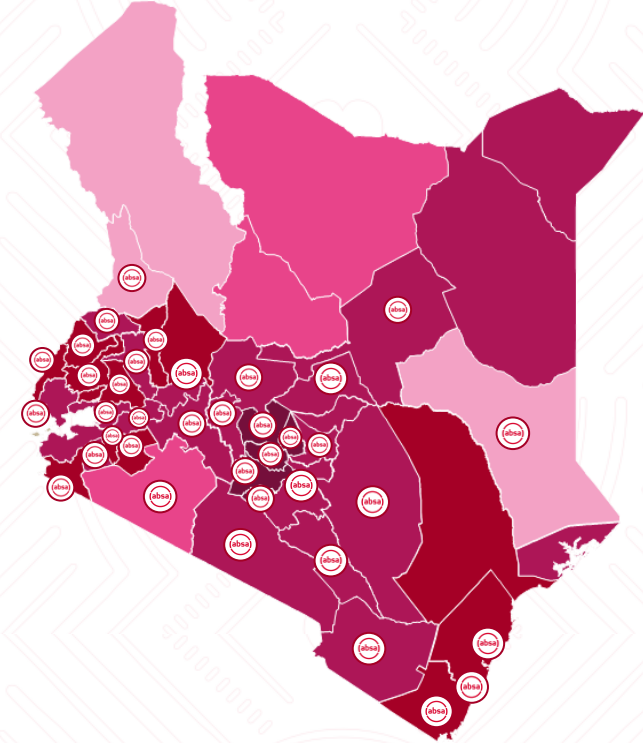


16
Countries in
Africa



3
Representative
Offices

Absa Kenya



87
Branches



10,548
POS



263
ATMs & CDMs



532 billion
Total Assets



+2,000
Employees



+3,000
Agents

Your story matters

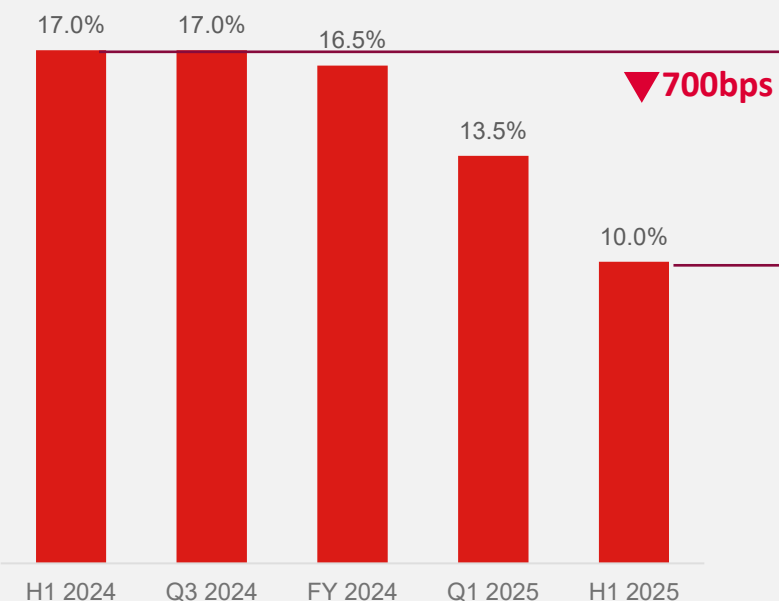




We remain committed to our purpose “Empowering Africa’s tomorrow, together... one story at a time”: We are enabling customer aspirations while supporting them to navigate a complex operating environment

Passing interest rates benefits to customers

Absa Base Rate (ABR)



Sustained financial support

77bn

New Gross Lending in Timiza, MSME, Mortgages, Working Capital, Corporate Trade Finance

1.3bn

Restructures for individuals and businesses

Empowering customers with non-financial support

40k

Supported with non-financial skills - Women in businesses, MSME, Post harvest losses management

7k

- Business club members
- International trips to US, Finland, Zambia and Estonia for new markets access



Our Strategy Overview: We are in the third year of our five-year strategic cycle 2023 - 2027

Our purpose: Empowering Africa's tomorrow, together... one story at a time

3 Priorities

1. A modern-day consumer business - Shift the business focus from being product-led to customer segment-led
2. A market leader in business banking - Expanding into priority sectors by offering relevant services to our clients boosting product holding and revenue per customer
3. A powerhouse in corporate and investment banking- Refocus our Ecosystem Model to capture the entire value chain of opportunities within Absa



3 Enablers

1. A digitally powered business – Modernize our core technology infrastructure, digitize customer journeys and ensure seamless customer experiences across all interaction points
2. A Trusted Brand - Build our brand affinity with our clients and employees while being a Force for Good in the society
3. A Home of Talent & Diversity - Cultivating a conducive culture that fosters innovation, motivation and engagement among the workforce





Strategy Execution: We're advancing our strategic agenda with notable achievements across key initiatives



A Modern-Day Consumer Financial Services Business

Key Achievements on our Strategy Execution in H1 2025

- ✓ Double-digit growth in Consumer Banking revenue driven by NFI growth
- ✓ Accelerated growth in Timiza lending and digital payments
- ✓ Revamp of prestige and personal banking propositions
- ✓ Introduction of new card propositions
- ✓ 2X revenue growth in asset management to over Kshs 30 billion AUM
- ✓ Market leading growth in bancassurance business
- ✓ Accelerated diaspora remittances gaining +6% market share over the year
- ✓ Improved customer acquisition, digital usage and portfolio growth



A Market Leader in Business Banking

- ✓ Expanded suite of Shariah-compliant banking solutions under the revamped La Riba offering
- ✓ Onboarding of new anchor ecosystem clients expanding consumer and SME opportunities
- ✓ Capacity building and export market access for SME clients through international trips to Estonia, Finland, US.
- ✓ Accelerated customer growth and deposits through SME merchant solutions
- ✓ 107 customer experience index score



Strategy Execution: We're advancing our strategic agenda with notable achievements across key initiatives

Key Achievements on our Strategy Execution in H1 2025



A **Powerhouse** **Corporate &** **Investment** **Bank in** **Connecting** **Ecosystems**

Corporate Banking

- ✓ +7% market share in growth in government payments in year-one
- ✓ Over 40 billion in assets under custody since launch in Q1 2025
- ✓ Powerhouse advisory bank in East Africa executing several landmark transactions
- ✓ Sponsored the inaugural International Housing Solutions (HIS) affordable housing conference and East African Property Investment (EAPI) summit



Global Markets

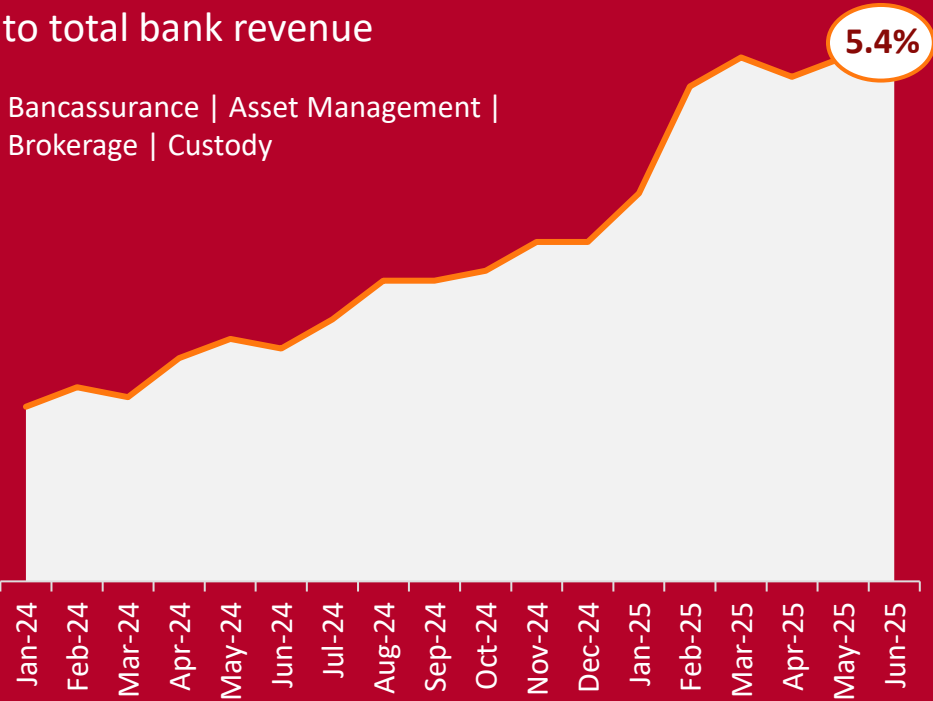
- ✓ 13.8x growth in FX volumes for consumer and business banking customers driven by personalized FX solution
- ✓ Dual listing of the Satrix MSCI World ETF on the NSE, enabling local investors to access global markets through our cross-border expertise.
- ✓ High double-digit growth in securities business
- ✓ 2x growth in risk management products



Our investments in new business lines are yielding positive benefits in diversifying and future-proofing our business. We are accelerating revenue growth and gaining market in our chosen strategic growth areas

Growth in New Business Lines Contribution to total bank revenue

Bancassurance | Asset Management | Brokerage | Custody



Achieved through execution in:

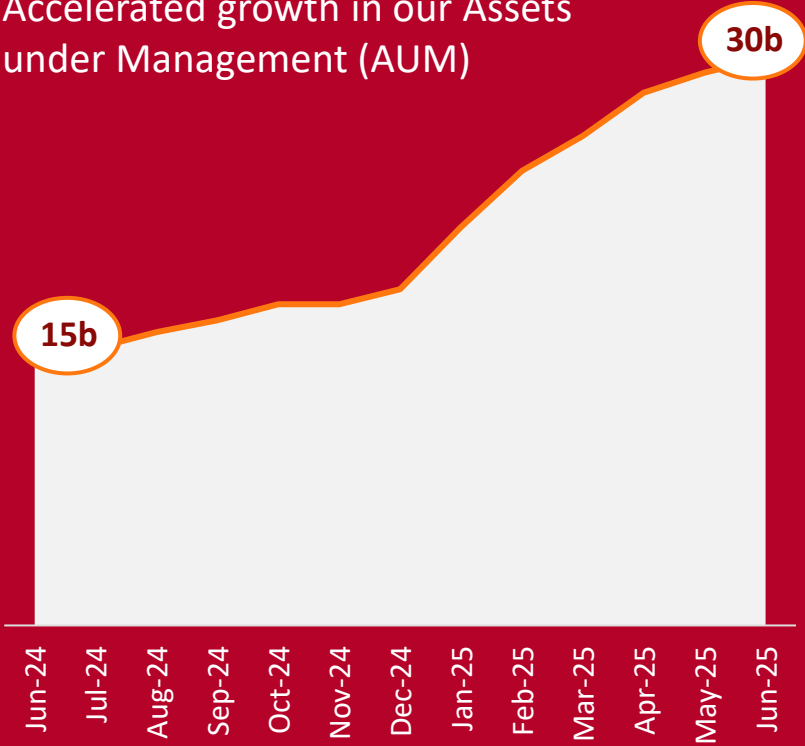
New scalable platforms

Process reviews and digitization improved TAT

Building the businesses for Embedded Finance

Strategic Partnerships for scale

Accelerated growth in our Assets under Management (AUM)



Revenue Performance year-on-year growth

+116% in Asset Management	+36% in Bancassurance
+29% in Brokerage	>100% in custody

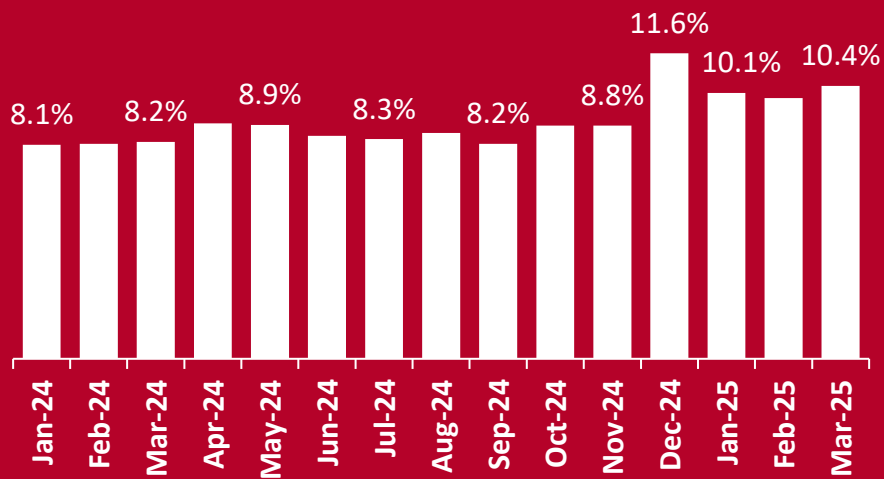
...with significant outcomes

- ➔ Number 1 in Bancassurance by profitability
- ➔ Number 3 in Money Markets Fund launched in 2022
- ➔ Over 30 billion under assets under management (2x growth YoY) and fastest growing investment business
- ➔ Number 3 in Brokerage Bonds trading
- ➔ Over 40 billion in assets under Custody (From go-live in February 2025)

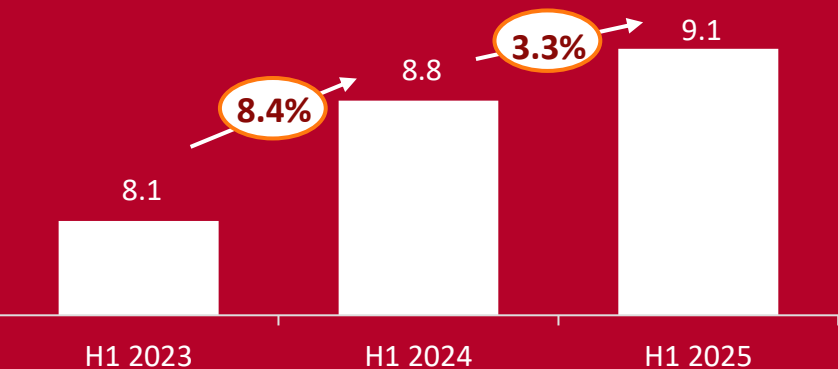


A Digitally Powered Business: Our investments in Payments are driving our non-funded income growth and we are accelerating our growth in market share in chosen strategic battle-grounds

We are gaining payments market share¹



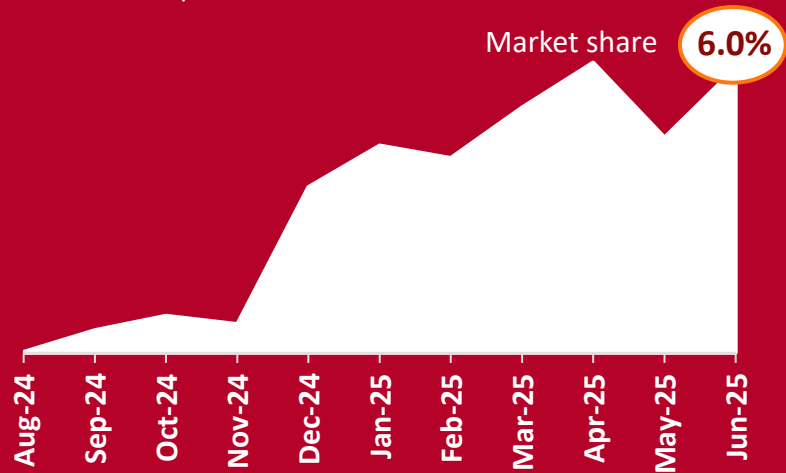
Supporting non-funded income growth (Kshs bn)



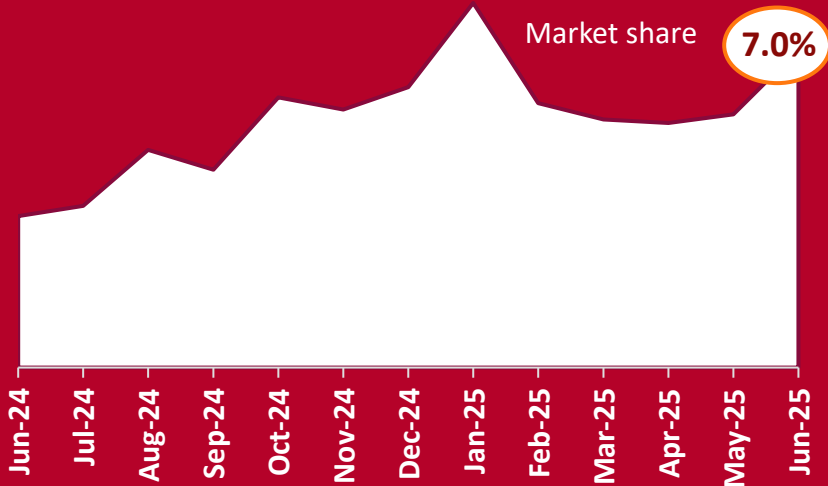
Note: Market share calculation based on Pesalink, Cards, Cheques, RTGS and Diaspora remittances transactions, 2025 NFI annualized for Q1 2025

Building our payments business

Grown our diaspora remittance to 6% market share



Grown government payments to 7% market share



Building our digital business

Timiza

➔ 22% increase in revenue, lowest loan loss ratio in industry digital lending

➔ Disbursement parity with conventional business

Digitally active customers



Corporate and Investment Bank



Consumer Banking



Transactions on alternate channels



Digitization and Automation



Absa Kenya Foundation: Our ambition is to be a Force for Good for our people and community and our ongoing initiatives have proven effective in creating business value aligned with our shared-value principle and attracting new partners

We have operationalized Absa Kenya Foundation





Entrepreneurship

Enhance enterprise formalization to enable access to a diverse range of financial products



Education and Skills

Increase the number of employable youth equipped with future-ready skills



Natural Resource Management

Empower communities and stakeholders toward low-carbon, climate-resilient, and sustainable development



Health and Humanitarian

Demonstrate empathy by proactively addressing human crises and societal health

Our sustainability progress in H1 2025



28.3 billion Sustainable finance including 4 billion in climate finance



18.2 billion Advanced to youth and startups including via our Timiza platform driving financial inclusivity



4.4 billion Advanced towards MSMEs with 30% of this being to women led business



Empowering communities





+300k youth impacted via R2W and financial literacy programs



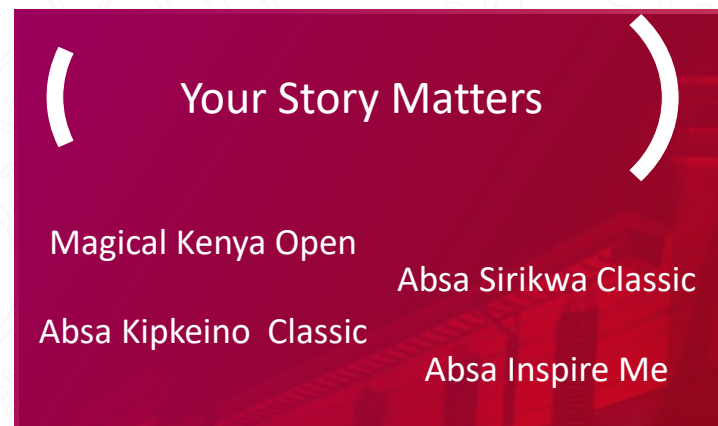
40k women trained in access to affordable finance, advisory and access to markets



1.75 million trees planted
1,800+ households and Community forest associations



Our Brand Positioning: We have made significant progress in bringing our new brand promise “Your Story Matters” to life, further growing our brand equity



Our Absa brand remains strong

- **98%** positive **tonality**
- **12.5M** digital reach
- **No. 1** most **reputable** brand in the market by Globe scan
- **No. 1** most **trusted** financial brand by Globe scan
- **97%** brand awareness
- **40%** brand Consideration

Our efforts being recognized by wider stakeholders

Key Awards

- Most Improved Bank in Customer Experience: KBA customer experience survey
- Championing gender- inclusive sourcing: International Finance Corporation
- Best Bank in Loans: World Economic Magazine Awards 2025
- Best workplace in Health and Safety Preparedness: Directorate of Occupational Safety and Health
- Best Bank in Islamic Banking: Think Business Awards
- 2nd Runners - Up in Agency Banking: Think Business Awards

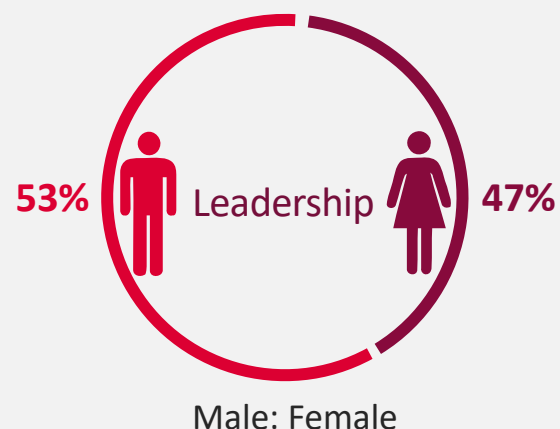


Our Leading Employee Value Proposition: We are building a home of talent and diversity while supporting our colleagues to achieve their career aspirations

Certified top employer for 4 years



A diversified workforce



Empowering with non-financial support

149

colleagues promoted enabling them achieve their aspirations over the past 12 months

+50

ideas originated from colleagues through our recently launched innovation portal and embedded innovation framework

50%

future skills learning across the workforce through various programs (such as data analytics, digital AI, etc.)

99%

top talent retention across the bank. We continue to develop and attract talent aligned to our strategy

6

dimension of our wellness program (physical, mental, social, financial, spiritual and emotional, occupational)





In conclusion: We are delivering positive impact to our customers and sustainable returns to our shareholders through continued diligent execution of our strategy



Customer Focus

700bps drop in Absa Base Rate to 10% in order to drive benefits of the lower interest rate environment to our customers while disbursing over Ksh 77 Bn in loans to customers and over Ksh 1.3 Bn in restructures



Business Growth

We have made significant progress in executing our strategy, building **business resilience through diversified revenue while supporting our customers**



Innovation

We continue to **modernize our infrastructure and digital channels** and innovative new products to enhance our customer experience



Colleagues

We are **significantly investing in upskilling** our people, building a home of talent, diversity and inclusion – **Top employer 4 years in a row**



Communities

We are making positive progress in execution of our ESG agenda towards being a **Force For Good** in the communities we operate in

Financial Performance



Yusuf Omari
Chief Financial Officer

Bolstered balance sheet: Growth in our strategic focus areas and growing sectors of the economy

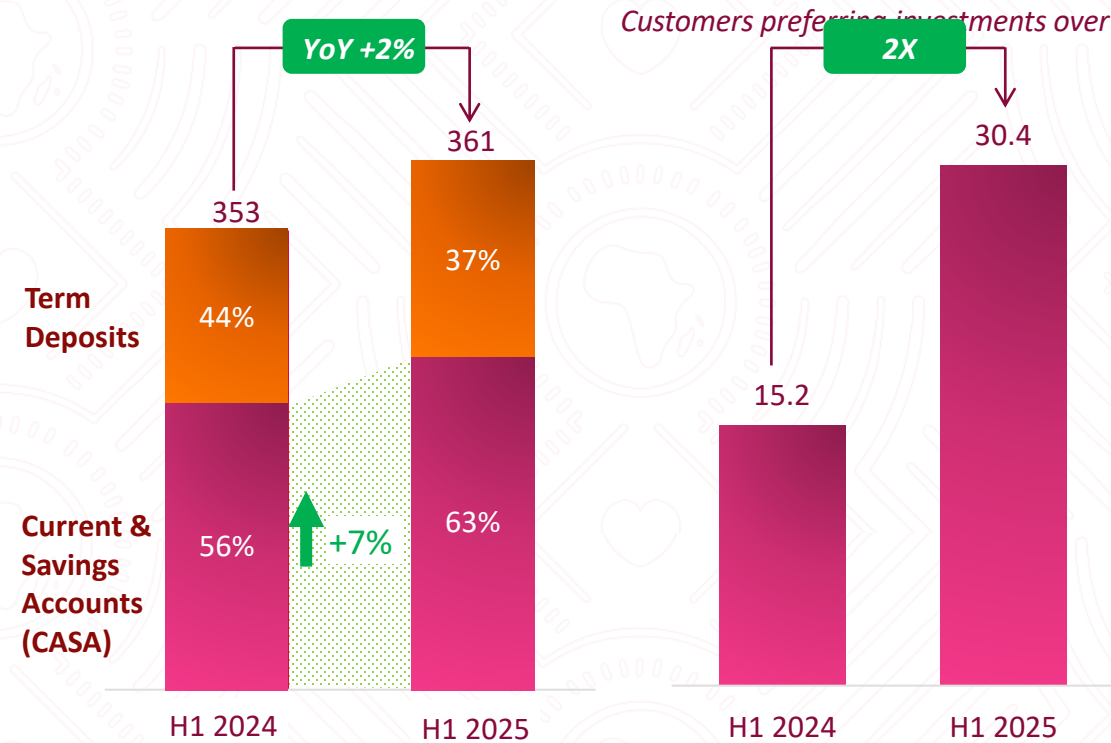
Customer Deposits

(In KES bn unless stated otherwise)

Customer Deposits

Assets Under Management (AUM)

Customers preferring investments over term deposits

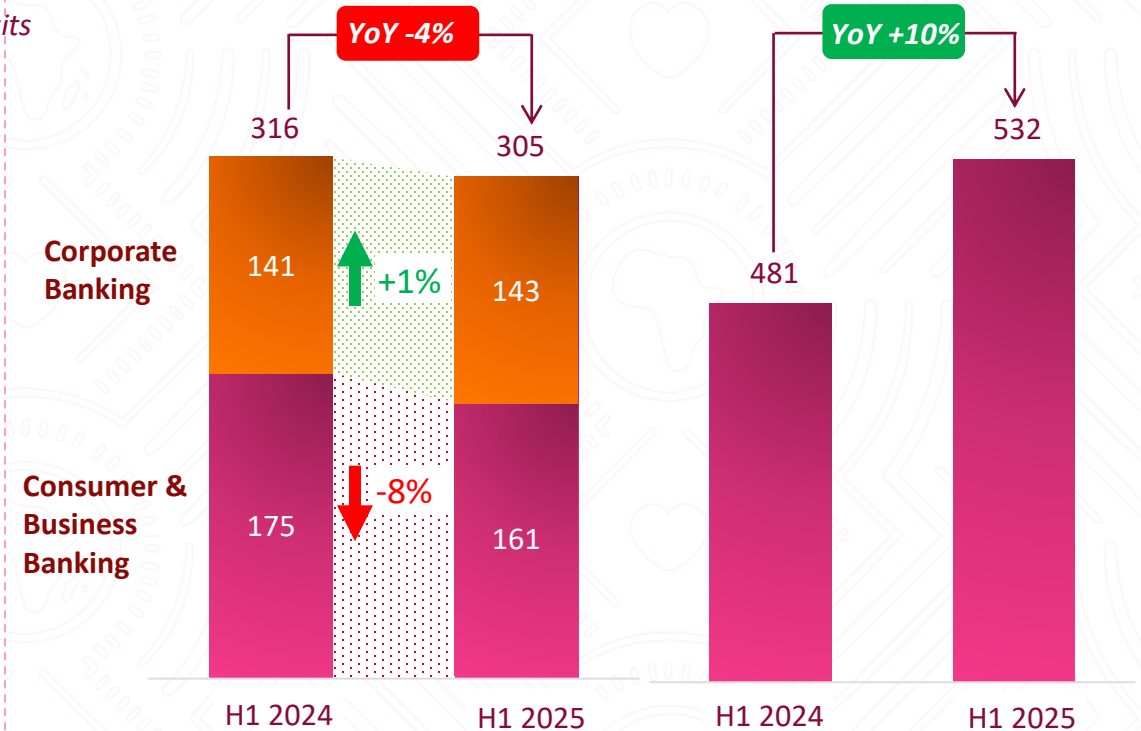


- Focus is on attracting CASA deposits to lower the cost of funding
- COF:3.7% (H1 2024-5.0%)

Customer Loans and Advances

Customer Loans

Total Assets



- Focused on growing sectors of the economy
- Government securities driving growth in total assets
- Customer assets declined impacted by operating environment

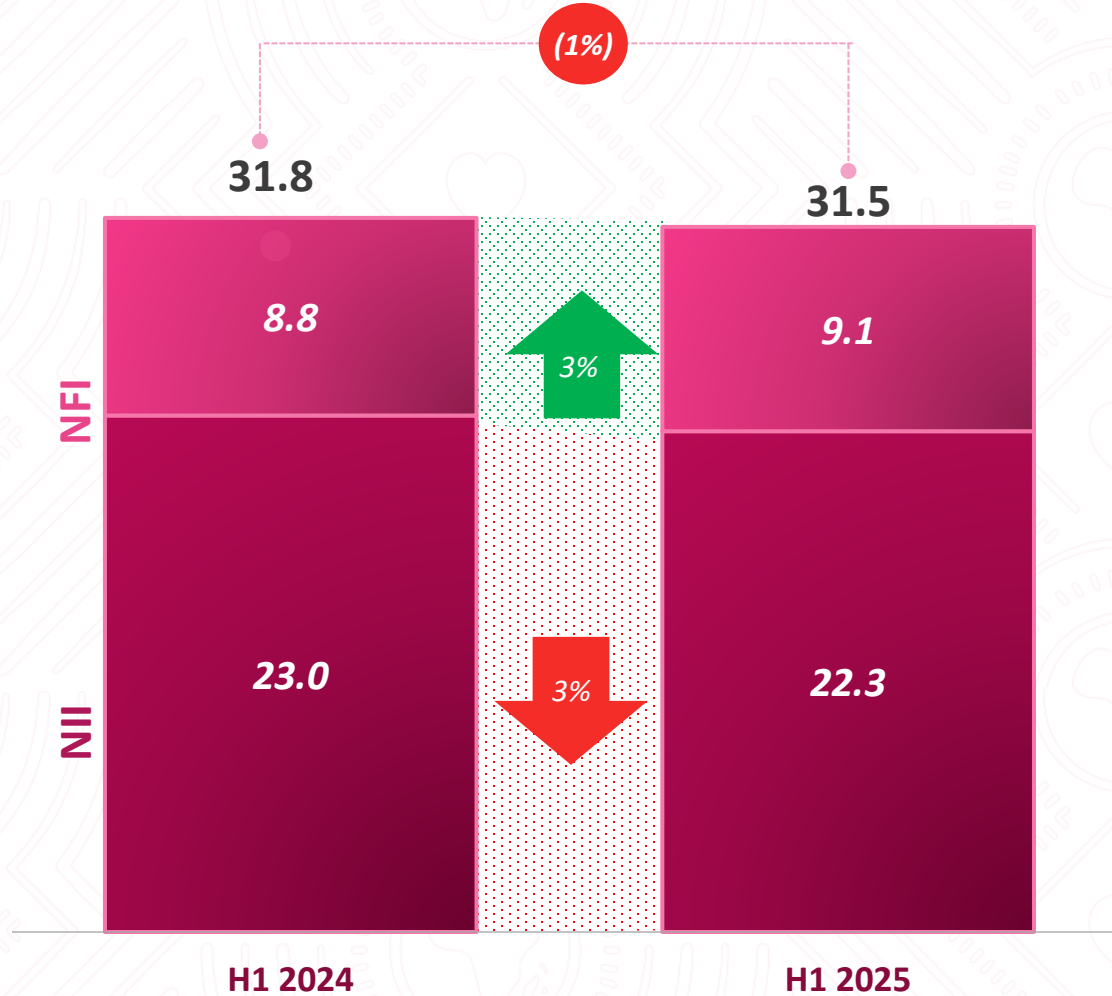
Your story matters



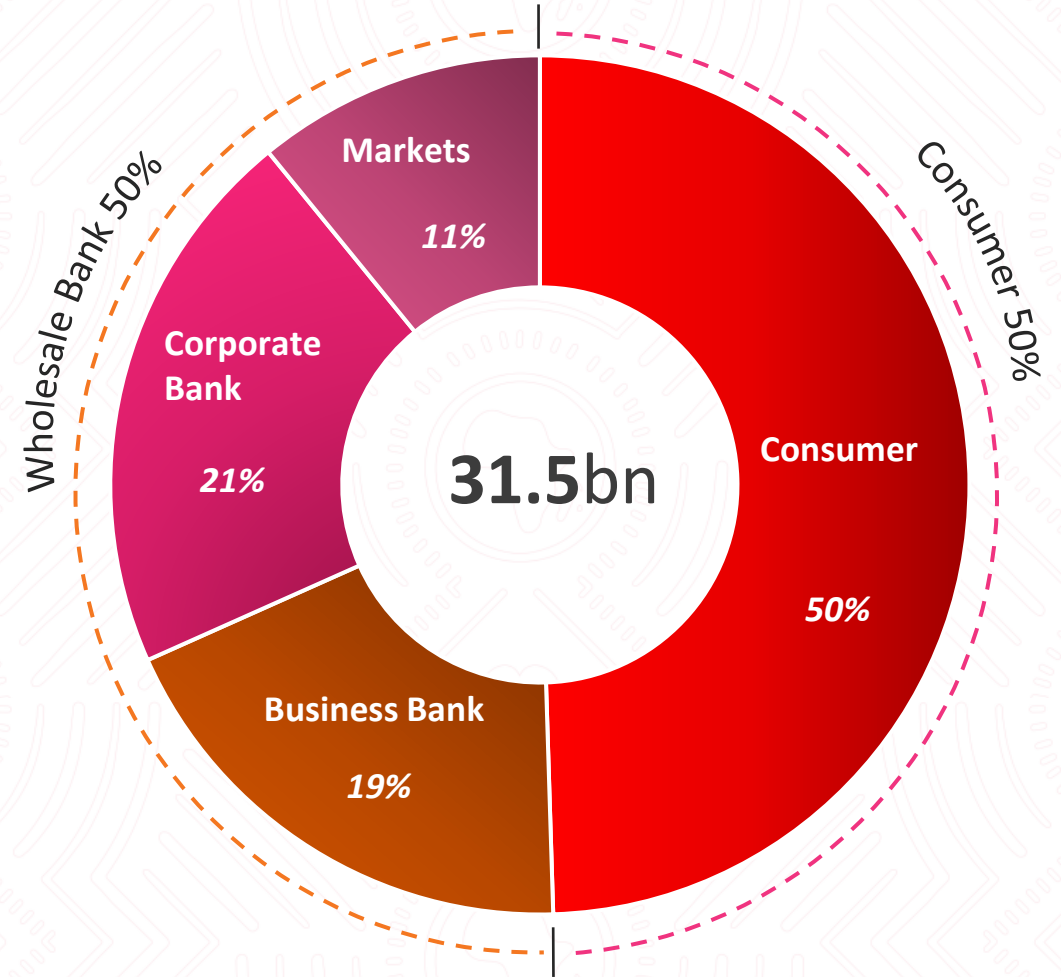
Momentum in revenue: A well diversified business with investments in new revenue streams driving performance

Revenue Diversification: NII and NFI

(In KES bn unless stated otherwise)



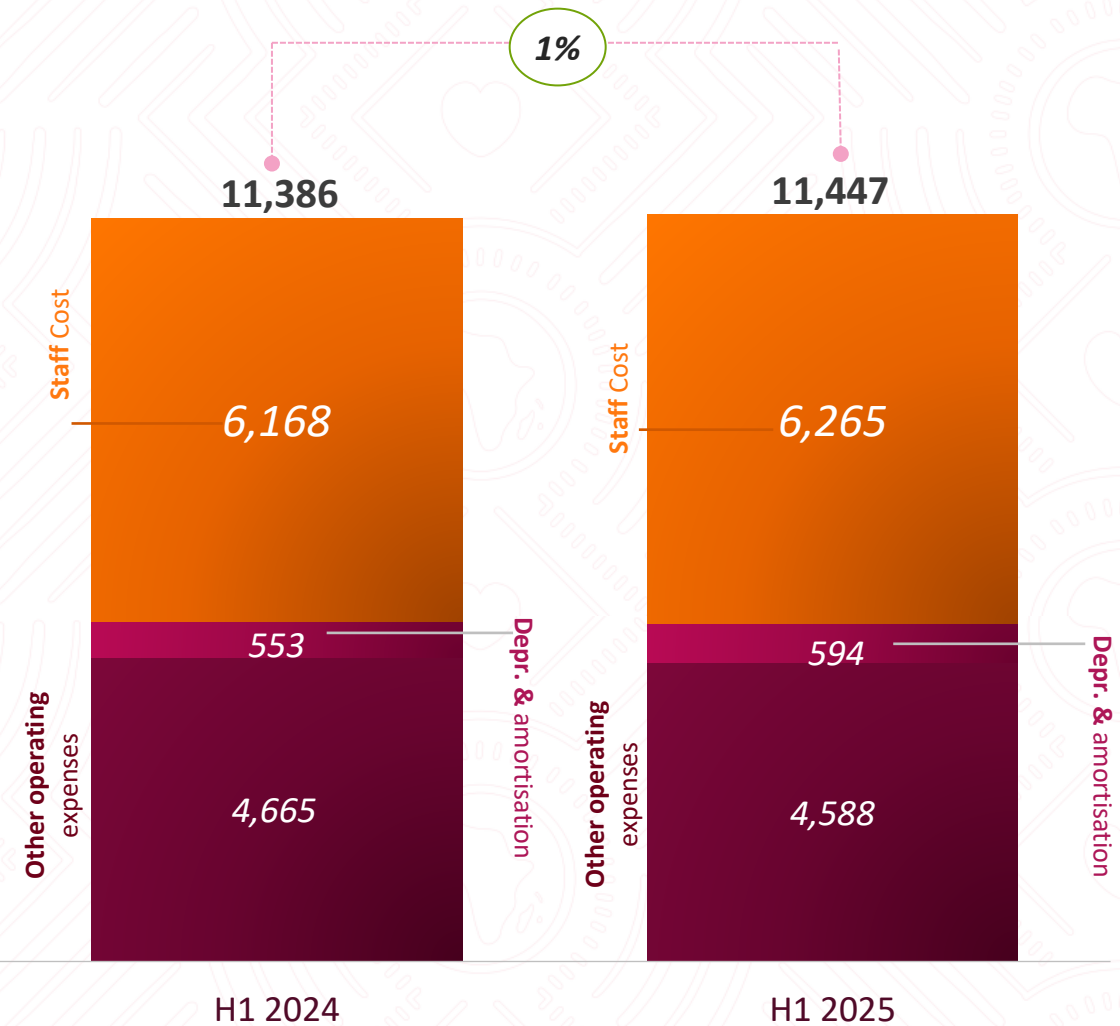
Revenue Diversification by Business



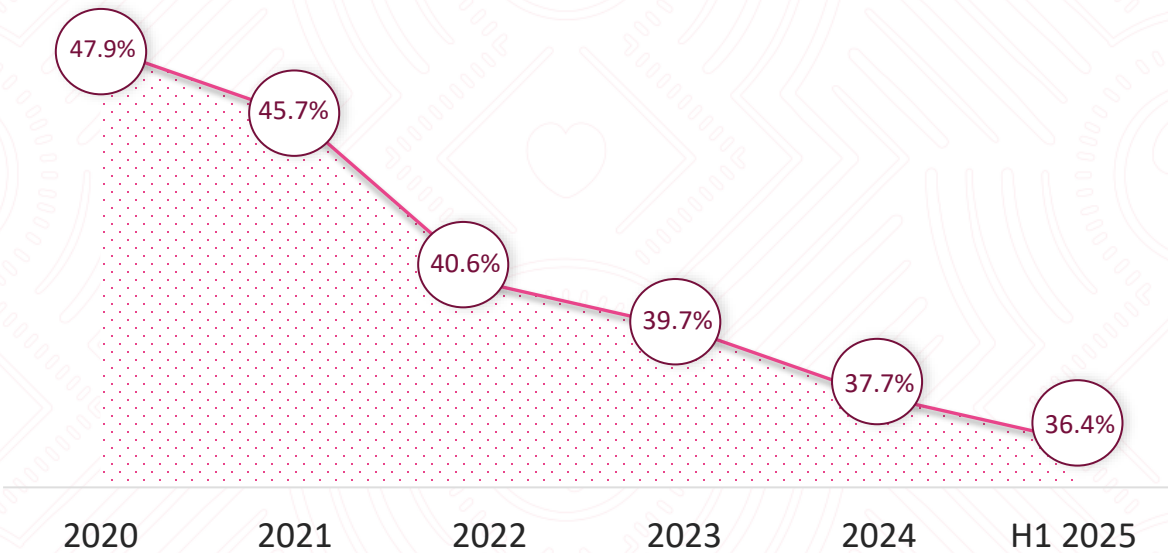
Sustained improvement in efficiency: Strategic investments for future growth driving costs with sustained efficiency levels

Total Cost growth from inflation and investments

(In KES mn unless stated otherwise)



Improved Cost to Income Ratio

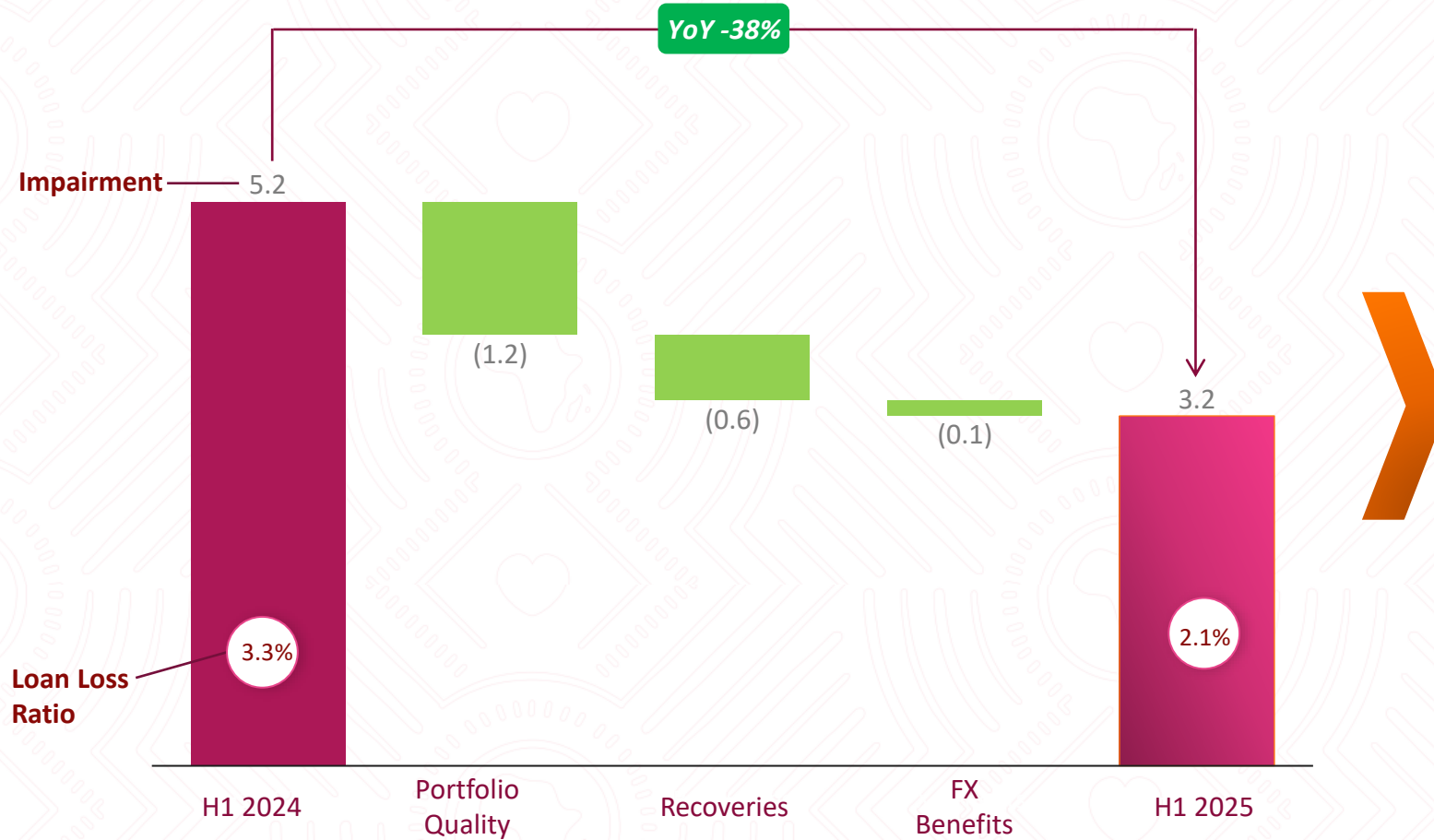


	2024	2025
Technology Investments	Kshs 3.3 Bn	Kshs 4.0 Bn
Digitization level %	65%	71%

Portfolio quality: Sustaining quality while maintaining a robust balance sheet in a tough operating environment

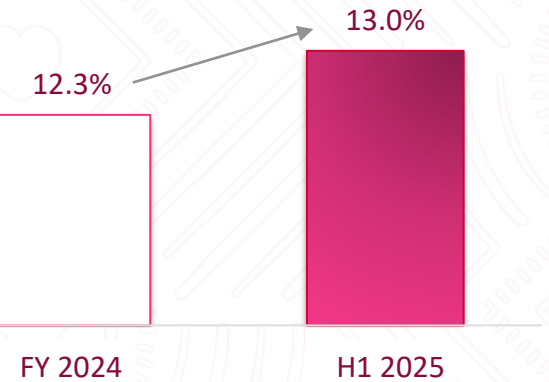
Impairment relative to growth

(In KES bn unless stated otherwise)

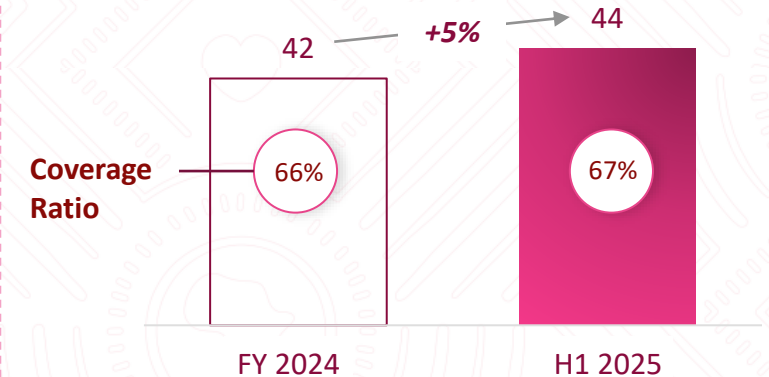


Gross NPLs Ratio

17.6% Industry¹



Gross NPLs



Notes

1. Industry gross NPLs (Non-Performing Loaning) as at Q1 2025.

Your story matters



Resilient financial performance with improved profitability

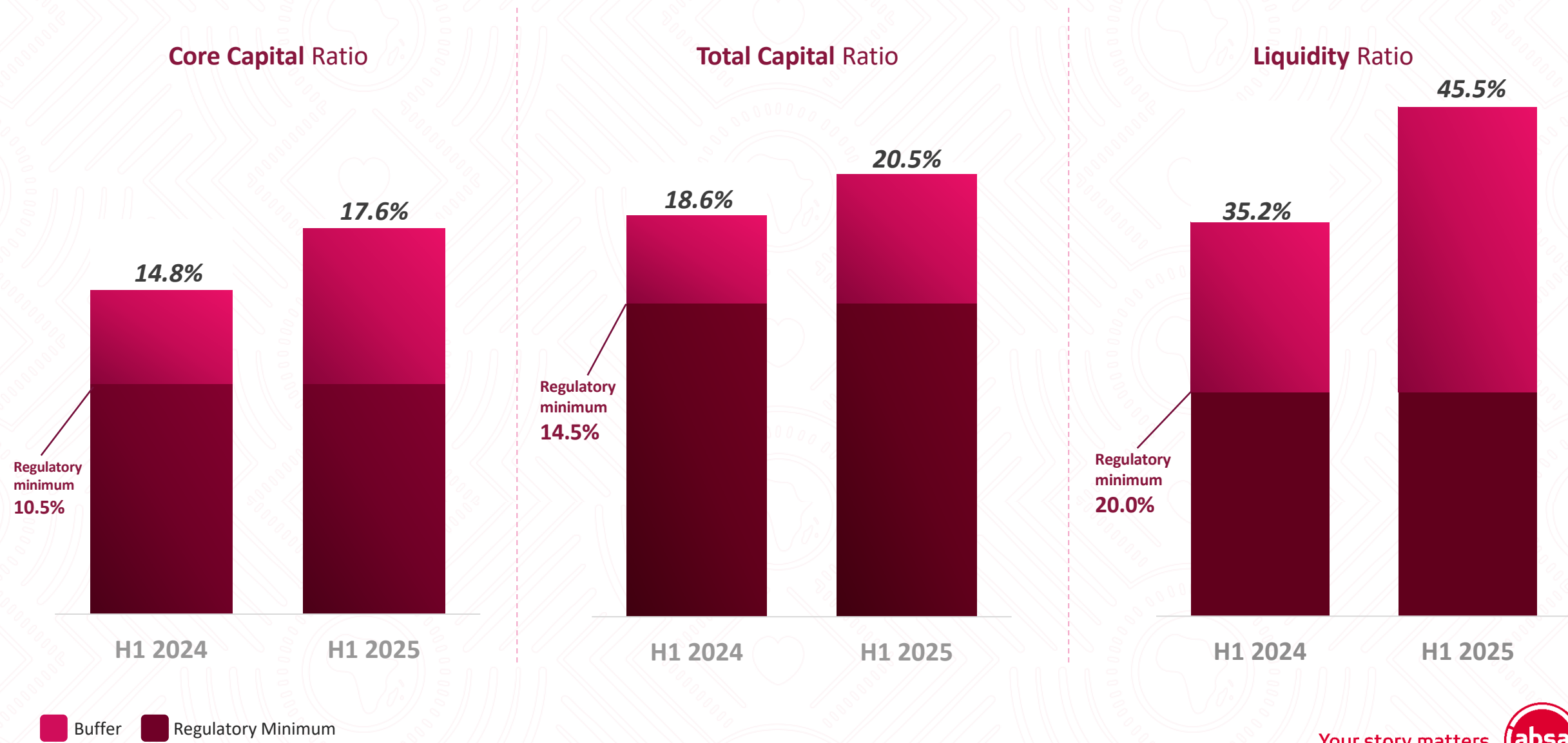
(In KES bn unless stated otherwise)

P&L Indicators	H1 2024	H1 2025	YoY	
Income	31.8	31.5	(1%)	↓
<i>Net Interest Income</i>	23.0	22.3	(3%)	↓
<i>Non Funded Income</i>	8.8	9.1	3%	↑
Operating Costs	(11.4)	(11.4)	1%	↑
Impairment	(5.2)	(3.2)	(38%)	↓
Profit Before Tax	15.3	16.8	10%	↑
Profit After Tax	10.7	11.7	9%	↑
Balance Sheet				
Customer Assets	316	305	(4%)	↓
Customer Liabilities	353	361	2%	↑
Total Assets	481	532	10%	↑

Cost-income-ratio within our plans of sustained investments with profitability supporting Return-on-Equity above our Cost of Equity

Indicators	H1 2024	H1 2025	Commentary	
Cost to Income Ratio	35.0%	36.4%	Talent and technology investments (140 bps)	↑
Loan Loss Rate	3.3%	2.1%	Decreased due to robust collection strategies	↓
Loan Deposit Ratio	90%	84%	Better deposit mobilization	↓
Core Capital Ratio	14.8%	17.6%	Strengthened financial position	↑
Return on Equity	29.6%	26.5%	Ahead of our plan (cost of equity+5%)	↓

Strong capital and liquidity ratios: Providing capacity to support growth ambition and future capital distribution



Guidance



Yusuf Omari
Chief Financial Officer



Guidance: Our strategy supports a positive medium-term guidance

Principal Financial Metrics

...Medium Term Target



Growth

Sustainable balance sheet growth



Efficiency

Cost-To-Income Ratio in low 40%



Shareholder Returns

Return on Equity above our Cost of Equity by 5%



Balance Sheet Quality

Better than industry average portfolio quality
(NPL ratio)

Recap



Abdi Mohamed
Chief Executive Officer



Recap: The strategic roadmap ahead and the bank we are building

H1 2025 performance highlights

Income
31.5bn
(1%)

Profit After Tax
11.7bn
+9%

Customer Assets
305bn
(4%)

Customer Liabilities
361bn
+2%

Cost to Income
36.4%
+140bps

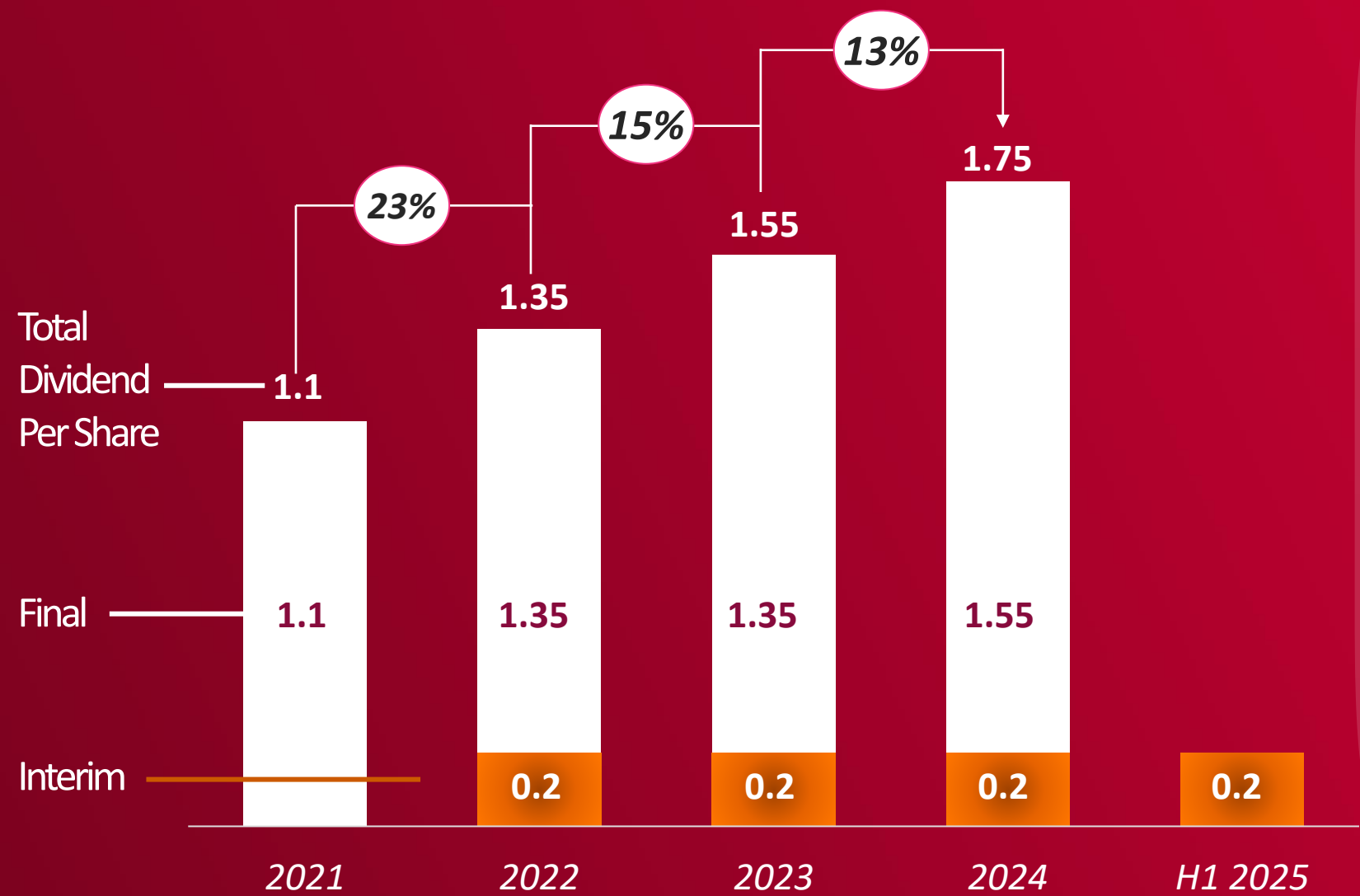
Return on Equity
26.5%
(Above COE+5%)



With clear execution focus areas for 2025 and beyond

- 01 Scale new businesses – Digital Payments & Lending and Wealth Management to diversify revenue streams and capture emerging opportunities
- 02 Expand physical and digital distribution while driving innovation through tailored customer value propositions and best-in-class customer experiences
- 03 Become the primary partner for our clients through ecosystems while leveraging best-in-class transactional banking capabilities
- 04 Sustain investments towards modernizing our technology platforms, enabling scale through partnerships and embedded financing propositions
- 05 Remain the Number One Trusted Financial Services Brand in Kenya through building a locally relevant, always-on brand that drives a sustainable future
- 06 Build a home of talent underpinned by a culture that fosters innovation and embraces diversity and inclusion

For our shareholders: The board has proposed the payment of an interim dividend of KES 0.2 per share towards delivering sustainable shareholders returns



The Board of Directors has approved the payment of an interim dividend for the year 2025 of KShs. 0.20 per ordinary share of the Company to be paid on or about Wednesday 15th October 2025 to shareholders registered as at close of business on Friday, 19th September 2025.

(Disclaimer)

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Absa Bank Kenya PLC . Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Absa Bank Kenya PLC future operating, financial or other results and involve certain risks, uncertainties and assumptions.

Accordingly, actual results and outcomes may differ materially from these expressed or implied by such statements. Absa Bank Kenya PLC makes no representation or warranty, express or implied, that the operating, financial or other results anticipated by such forward-looking statements will be achieved and such forward-looking statements represent, in each case, only one of many possible scenarios and should not be viewed as the most likely or standard scenario.

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